

Financial Analysis Summary and Key Takeaways

The objective of the financial analysis was to determine whether Intel's recent turnaround narrative is supported by underlying business fundamentals. Following a significant appreciation in Intel's share price over the past year, an important question emerged: has the company's financial performance improved enough to justify growing investor optimism, or has market sentiment moved ahead of the fundamentals?

The analysis began by examining Intel's historical revenue, profitability, and free cash flow trends. Revenue was analyzed to determine whether the company's business had stabilized following the significant declines experienced between 2022 and 2023. While revenue fell from a peak of approximately \$79 billion in 2021 to roughly \$53 billion in recent years, the data suggests that the sharp decline has largely stabilized. Revenue has remained relatively flat since 2023 and returned to modest growth on a trailing twelve-month basis, indicating that the company's core business may have reached an inflection point following several years of deterioration. However, despite improving revenue trends, profitability remains significantly below historical levels. Gross margin has declined from more than 60% during Intel's peak years to approximately 35% today, operating margin has turned negative, and free cash flow has remained under pressure. These findings suggested that additional investigation was necessary to identify the source of Intel's profitability challenges.

To better understand the decline in profitability, the analysis examined Intel's cost structure, including R&D spending, SG&A expenses, and capital expenditures as a percentage of revenue. The objective was to determine whether margin deterioration was being driven by excessive operating costs. The data showed that SG&A expenses have gradually declined as a percentage of revenue while R&D intensity has begun to moderate. Although capital expenditures remain elevated relative to historical levels, CapEx intensity has declined meaningfully from its 2023 peak. This suggests that the most capital-intensive phase of Intel's manufacturing expansion may be moderating, even as the company continues to invest heavily in its Foundry strategy. Collectively, these findings indicated that traditional operating expenses alone could not fully explain the company's weak profitability.

As a result, the analysis shifted to segment-level performance. Revenue and operating income were reviewed across Client Computing Group (CCG), Data Center & AI (DCAI), and Intel Foundry. This deeper investigation produced perhaps the most important finding of the financial review. Intel's core businesses remain profitable and relatively stable. CCG continues to generate substantial operating income and remains the company's largest business segment, producing approximately \$9.3 billion of

operating income in 2025. In addition, DCAI emerged as one of the most encouraging areas of the business, demonstrating both revenue growth and improving profitability. DCAI operating income increased from approximately \$0.9 billion in 2023 to \$3.4 billion in 2025, while segment revenue grew 22% year-over-year in Q1 2026, reflecting increasing demand for AI and data center infrastructure.

In contrast, Intel Foundry continues to generate significant operating losses despite producing meaningful revenue. Foundry operating losses expanded from approximately \$7.1 billion in 2023 to \$13.3 billion in 2024 before improving to \$10.3 billion in 2025. While the segment remains deeply unprofitable, the recent improvement suggests that losses may be beginning to moderate as Intel progresses through its manufacturing expansion and utilization rates gradually improve. Although it is too early to conclude that Foundry has achieved a sustainable turnaround, the trend represents an important development and will remain one of the most critical metrics for investors to monitor going forward.

The segment analysis suggests that Intel's current challenges are not primarily the result of declining demand, excessive SG&A spending, or weakness within its core businesses. Instead, Intel Foundry has become the primary determinant of the company's profitability and the most important driver of the overall investment thesis. While the segment remains a significant source of margin pressure, improving Foundry economics represent the clearest path toward future earnings growth, margin expansion, and free cash flow recovery. Consequently, Intel's turnaround story increasingly depends on management's ability to attract additional third-party customers, increase manufacturing utilization, and ultimately convert substantial manufacturing investments into sustainable long-term returns.

While the financial analysis answered several important questions, key uncertainties remain. Most notably, it remains unclear whether Intel Foundry can achieve attractive long-term profitability, whether the company's substantial manufacturing investments will generate adequate returns, and whether recent improvements in DCAI can continue amid intense industry competition. Furthermore, the financial analysis alone cannot determine whether Intel's current market valuation appropriately reflects these risks and opportunities. These remaining questions cannot be answered through Intel's financial statements alone. The next section compares Intel's growth, profitability, and valuation metrics against key semiconductor peers such as AMD, Nvidia, and TSMC. This comparison will help determine whether Intel's current valuation appropriately balances the risks associated with Foundry execution against the potential benefits of a successful turnaround.